BOARD OF SUPERVISORS

AGENDA DATE: July 14, 2026

TO: Board of Supervisors

FROM: Hugh Davis, Public Works, Senior Civil Engineer

REVIEWED BY: Christopher Blunk, Public Works Director

SUBJECT: Request from Department of Public Works for the Marin County Board of Supervisors to call a special election to be consolidated with the Statewide General Election on Tuesday, November 3, 2026 to impose a special tax upon parcels within the Upper Bay Permanent Road Division for the purpose of financing improvements and ongoing maintenance of roadways within the division; requiring estimates plans and specifications to be prepared, adopting intended ballot language, authorizing the County Registrar of Voters to take appropriate action and directing the County tax collector to levy the tax if approved.

RECOMMENDATION: 1) Authorize the resolution calling for a special election and consolidate this election with the November 3, 2026 Special Election to establish a special tax for the Upper Bay Permanent Road Division; 2) Adopt intended ballot language authorizing the County registrar of voters to take appropriate action and directing the County Tax Collector to levy the tax if approved, 3) Require that estimates, plans and specifications be prepared for the work described in the petition, 4) Allow for a loan to the PRD should the tax measure be passed by the voters, and 5) Set the tax in the amounts described in the ballot measures, should the measure be passed and 2/3 of the votes cast by the registered voters in the Division.

SUMMARY: Upper Bay Road is not a County-maintained roadway and maintenance responsibility rests with the fronting property owners. On June 23, 2026, the Board of Supervisors held a duly noticed public hearing and approved the formation of the Upper Bay Permanent Road Division (UBPRD). Formation of the UBPRD established a legal mechanism through which

property owners may fund roadway improvements and ongoing maintenance through a voter-approved special tax.

The requested action is the next required step in the Permanent Road Division (PRD) formation process. Staff recommends that the Board adopt a resolution calling for an all-mail special election on November 3, 2026, to consider a special tax on parcels within the UBPRD. If approved by at least two-thirds of registered voters residing within the UBPRD, the special tax would fund roadway rehabilitation and long-term maintenance within the UBPRD. The election will be noticed and conducted in accordance with Permanent Road Division law, and the results will be returned to the Board at a subsequent meeting.

DISCUSSION / BACKGROUND: A Permanent Road Division is a financing mechanism authorized under the Streets and Highways Code (SHC) Sections 1160–1197. PRDs allow property owners within a defined boundary to collectively fund improvements and maintenance of non-county-maintained public roads through special taxes.

During the June 23, 2026, Marin County Board of Supervisors regular meeting, your Board held a public hearing and approved the formation of the Upper Bay Permanent Road Division (UBPRD). The UBPRD includes ten improved parcels and one unimproved parcel of unincorporated land fronting Bay Road, beginning at the end of the County-maintained section of Bay Road and extending south to the end of the cul-de-sac in Mill Valley. The road within UBPRD is a non-County maintained road and maintenance responsibility falls to the fronting property owners.

Following formation, PRD law requires a separate vote of the registered voters within the district to authorize any special tax used to fund improvements and maintenance. The Notice of Election must be published for three consecutive weeks in a local newspaper and posted along the roadway to be improved, at least 15 days before the election scheduled for November 3, 2026. The special tax must be approved by at least two-thirds of registered voters residing in the PRD. If approved, the tax will be levied by the County Tax Collector, and funds may be used only for improvements and maintenance specified for the PRD.

If approved, the tax would levy $4,350 per developed parcel per year and $2,175 per undeveloped parcel per year for ten years beginning in the first year following approval, generating approximately $456,750 in total revenue for initial roadway improvements. Thereafter, the tax would levy $455 per parcel per year for ongoing maintenance, adjusted annually based on the Consumer Price Index for All Urban Consumers (San Francisco–Oakland–Hayward). Because detailed design and competitive bids will follow any tax approval, the final cost of improvements may vary, and the UBPRD committee acknowledges that project scope or timing may need adjustment if revenues are insufficient.

Residents may provide written or verbal comments during any noticed public hearing conducted as part of the PRD process and those opposed to the establishment of the tax may vote against the measure during the November 3, 2026 election. There were two letters objecting to the formation of the PRD that were sent to the Board prior to the Hearing and others verbally delivered to the Board at the Hearing. These were considered by the Board at the Hearing before making

a final decision to approve the formation of the UBPRD and signing the Resolution (Attachment 2).

POLICY FRAMEWORK: The Permanent Road Division law (SHC Sections 1160–1197) enables local communities to create a financing mechanism for roadways that are not eligible for inclusion in the County's maintained road system. PRDs support County priorities related to infrastructure resiliency, safety, and preservation by allowing residents to fund and maintain access routes serving their neighborhoods. Establishing the UBPRD and facilitating the required tax election are consistent with County policies that encourage community-driven solutions for infrastructure maintenance, ensure transparent and equitable fiscal processes, and promote long-term stewardship of public assets.

EQUITY IMPACT SUMMARY: The recommended action schedules an election that allows registered voters within the UBPRD to decide whether to fund roadway improvements and maintenance through a special tax. Because the initiative originated from property owners within the PRD, the proposal reflects community-led interest in addressing local infrastructure needs.

While the PRD mechanism provides a structured and transparent funding approach, the financial commitments associated with the proposed tax may affect residents differently depending on individual financial situations. The election process, including required notices and opportunities for public comment, ensures that all affected residents may participate, express concerns, and help shape the outcome. No disproportionate equity impacts have been identified.

COMMUNICATIONS & COMMUNITY ENGAGEMENT: Petitioners conducted outreach to property owners within the proposed UBPRD prior to formation to confirm interest and obtain signatures supporting creation of the district. On June 23, 2026, the Board held a hearing for the formation and considered both written and verbal comments related to formation of the UBPRD. For the upcoming election, the Marin Independent Journal will publish the legally required notices for three consecutive weeks, and staff will post the Notice of Election along the roadway to be improved at least 15 days prior to the election date.

PERFORMANCE MEASURES: Authorizing the proposed resolution and approval of the special election will enable the UBPRD to secure a dedicated funding source for improving and maintaining Upper Bay Road. Performance can be measured through successful completion of the election, establishment of the tax (if approved), timely implementation of improvements, and ongoing monitoring of road condition and maintenance frequency within the district.

CONTRACT RENEWALS / PERFORMANCE OUTCOMES: No contracts are being renewed as part of this action. If the special tax passes, future contracts for design, construction, and maintenance services will be competitively procured in accordance with County policies. Performance outcomes for those contracts will be assessed based on cost-effectiveness, timely delivery, and quality of completed improvements.

RISKS: Establishing a Permanent Road Division carries limited but important risks for the County. Although the County is not financially responsible for roadway improvements within the division, the County is responsible for administering the Permanent Road Division, managing elections, processing taxes, and overseeing any future construction contracts on behalf of the

property owners. This creates administrative workload and potential exposure to procedural challenges if statutory requirements are not followed.

Additionally, property owners may disagree over future scopes of work, tax levels, or contract decisions, which may result in disputes directed to the County for resolution. If the PRD does not receive voter approval for the tax, the PRD may remain inactive despite requiring ongoing administrative oversight. While these risks are manageable and common to resident-initiated districts, they warrant consideration.

CEQA ANALYSIS: Calling an election to consider a special tax is an administrative action that does not approve a specific project and does not result in a physical change to the environment. As such, the action is not a "project" under CEQA pursuant to CEQA Guidelines Section 15378(b). Any future non-exempt roadway improvements funded through the UBPRD will undergo environmental review before approval, consistent with CEQA requirements applicable to the scope of work proposed.

FISCAL, FACILITY & STAFFING ANALYSIS: There will be no increase to the General Fund Net County Cost as a result of your Board's action. Approval of the proposed UBPRD special election does not authorize the levy of a special tax at this time and does not commit the County to roadway construction or maintenance expenditures.

If the call for a special tax election is approved and passed through the election, any future roadway maintenance or improvement activities associated with the PRD will be funded through taxes levied within the division. Existing Department of Public Works staff resource costs estimated at $33,950 will be incurred on general administration assistance to the UBPRD committee to administer the election, collect taxes and future costs for the Department of Public works to advertise and award a construction contract should the special tax pass. These costs are recoverable under the PRD law but should this special tax fail, these costs cannot be recovered and will be covered within the Department of Public Works General Fund Engineering program baseline budget.

ALTERNATIVES: Do not approve the call for a special election for the Upper Bay Road Permanent Road Division and direct staff at the Board's discretion. If the special election is not called, roadway maintenance responsibility will continue to rest solely with the individual property owners along Upper Bay Road without a formal collective funding mechanism. Property owners may still coordinate private cost-sharing arrangements for maintenance or improvements; however, these informal agreements typically provide less stability, transparency, and long-term accountability than a Permanent Road Division structure. The Board may instead choose to continue the call for an election to a future date to allow additional public input or staff review, if concerns arise during the call for a special election hearing process which would postpone the special election, potentially to March 2027.

ESTIMATED TIME (in minutes): 10

ATTACHMENTS:

Attachment1: Petition for Special Tax
Attachment 2: Resolution for Election
Attachment 3: Notice of Election
Attachment 4: Presentation